

Sturdy Provision and Capital Buffer

Axis Bank numbers were above our estimates on the profitability front mainly due to lower provisions, stable margin and strong sequential loan growth. Bank's asset quality improved during the quarter, with GNPA at 2.82% (down by 35 bps QoQ) and NNPA at 0.73% (down by 18 bps QoQ).

- NII came in at INR 88.19 Bn, +1.9% QoQ / +16.7% YoY and 2.6% below our est.
- Other Income came in at INR 42.23 Bn, +10% QoQ / 19.3% YoY and 2% above our est.
- Opex came in at INR 65.76 Bn, +3.9% QoQ / +22.7% YoY and 3% above our est.
- PPOP came in at INR 64.66 Bn, +4.9% QoQ / 12.7% YoY and 5% below our est.
- Provisions came in at INR 9.87 Bn, -26% QoQ / -54% YoY and 38% below our est.
- PAT came in at INR 41.18 Bn, +13.9% QoQ / 53.8% YoY and 5.4% above our est.
- EPS stood at INR 13.42 vs INR 11.78 / INR 8.74 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

With capital adequacy (Tier I 16.3%) and a healthy provisioning buffer (SACR 1.77%), Axis Bank is well positioned to navigate the current challenges. Besides, improved underwriting and an increasing retail mix will help the bank in maintaining strong control on credit cost in the near to medium term. Going forward, the bank's earnings trajectory is likely to improve as credit costs normalise and growth gathers pace. However, higher operating expenses will mitigate return ratios in the near term. *At CMP the stock trades at 1.9x its FY22E ABV and 1.7x its FY23E ABV. We have assigned a 'BUY' rating to Axis Bank with a price target of Rs 929, valuing core bank at 1.8x FY24 ABV and subs at Rs 87.

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	292	331	390	465
PAT	66	130	165	204
Adj BVPS	309	357	408	467
EPS (Rs)	22	42	54	66
P/ABV (x)	2.5	2.2	1.9	1.7
P/E (x)	36	18	14	12
RoA (%)	0.7	1.2	1.3	1.5
RoE (%)	7.1	12.0	13.4	14.5

Source: Dalal & Broacha Research, Company



Rating	TP (Rs)	Up/Dn (%)
BUY	929	19

Market data

Current price	Rs	780
Market Cap (Rs.Bn)	(Rs Bn)	2,394
Market Cap (US\$ Mn)	(US\$ Mn)	31,288
Face Value	Rs	2
52 Weeks High/Low	Rs	881.45 / 621
Average Daily Volume	('000)	11,694
BSE Code		532215
Bloomberg		AXSB.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	9.7	9.7
Public	90.3	90.3
Total	100	100

Source: Bloomberg

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Financial Highlights

- Bank's advances stood at Rs 7077 Bn (15.2% YoY/6.4% QoQ), mainly led by SME segment (26.5% YoY/13.5% QoQ) and Retail segment (20.7% YoY/ 8.8% QoQ), while corporate segment saw muted growth (3.9% YoY/ 0.6% QoQ).
- Moreover, the share of secured retail loans was ~ 80%, with home loans comprising 36% of the retail book. Home loans, small business Banking and Rural loans portfolio grew 18% YoY, 60% YoY, & 29% YoY respectively. On the other hand, unsecured personal loans and credit card loans grew 15% YoY and 19% YoY respectively.
- 96% of the SME book is secured with predominantly working capital financing, and is well diversified across geographies and sectors. On the other hand, 88% of corporate book is now rated A- and above with 92% of incremental sanctions in FY22 being to corporates rated A- and above.
- On the liability side, Deposits stood at Rs 8217 Bn (17.7% YoY/6.5% QoQ). Bank reported 16.4% YoY/7.2% QoQ growth in CASA deposits; taking average CASA ratio to 45% in Q4FY22 (vs 44.7% QoQ) and indicating clear focus on granularization and premiumization of deposit franchise. Bank has added 2.4 mn new liability relationships in Q4, up 30% YOY & 11% QOQ.
- Bank's capital adequacy ratio stood at 18.54% (vs 19.12% YoY), of which Tier I capital was 16.34% (vs 16.47% YoY) and Tier II capital was 2.2% (vs 2.65% YoY).
- Operational efficiency remained stable, with cost to income ratio stood at 50.4% (-26 bps QoQ), backed by higher net income (NII + other income) growth of 4.7% QoQ vs opex growth of 3.9% QoQ in Q4FY22.
- Other operating expenses grew 27% YoY and 7% QoQ - mainly due to higher business volumes, higher collection expenses, one-time transaction expenses relating to business purchase transaction etc.
- Bank will continue to make significant investments in building digital and new age tech capabilities, invest in talent and work on transformation projects across its businesses.
- Annualized net credit cost (net of recoveries in written off accounts) for the quarter stood at 0.32%, declining by 116 bps YOY and 12 bps QOQ. Slippages stood at Rs 39.81 Bn in Q4 FY22 (Rs 41.47 Bn QoQ).
- Bank's fee income stood at Rs 37.58 Bn, growing 12% QoQ. 91% of the fee is granular, while 66% of its fees come from its retail business and balance from its wholesale franchise.

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Home loans, small business Banking and Rural loans portfolio grew 18% YoY, 60% YoY, & 29% YoY respectively

88% of corporate book is now rated A- and above with 92% of incremental sanctions in FY22 being to corporates rated A- and above

Bank reported 16.4% YoY/7.2% QoQ growth in CASA deposits; taking average CASA ratio to 45% in Q4FY22 (vs 44.7% QoQ)

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Highlights of the Conference Call

Asset Quality

- The gross loan slippage ratio for the quarter stood at 2.38%, improving 121 bps YOY and 21 bps QOQ. For the quarter 54% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.
- GNPA's, NNPA's and BB book are down by 244 bps, 133 bps and 57 bps respectively in the last 3 years at 2.82%, 0.73% and 0.75%.
- Bank holds cumulative non-NPA provisions of Rs 124.28 Bn and standard asset coverage ratio of 1.77% among the highest in the industry with one of the lowest restructured portfolios of 0.52%.
- Bank has been improving the risk profile of its loan book. Bank's NII as a percentage to average risk weighted interest earning assets, stands at 7.11%, improving 20 bps YoY.

Operating expenses

- Bank's operating expense is likely to remain little higher in the near term; therefore, the bank is moving away from its earlier guidance of 2% cost to assets ratio on an FY'23 exit basis.
- Bank will continue to make significant investments in building digital and new age tech capabilities, invest in talent and work on transformation projects across its businesses.
- Operating expenses to average assets stood at 2.17% for Q4FY22, up by 21 bps YoY and 2 bps QoQ.
- The sequential QOQ increase in expenses can be attributed to (i) ~ 47% linked to volume; (ii) 51% to one-time expenses; (iii) ~ 17% attributable to collections expenses, offset by (iv) BAU and statutory expenses declining by 15%.
- Onetime costs in the quarter related to the reclassification of provisions into operating expenses and the proposed Citibank acquisition related expenses debited to the P&L.

NIM

- NIM was impacted by 4 bps as NII worth Rs 830 Mn prudently reserved to (i) realized interest on a NPA investment account where Principal is still outstanding; (ii) a contested arbitration order where interest has been awarded against the bank and (iii) other miscellaneous items.
- Improvement in NIMs over the medium term will be driven by; (i) Balance sheet mix shift from investments to loans and within loans, the currency / segmental / product composition towards better-yielding assets; (ii) continued improvement in low-cost deposit base, and (iii) reduced share of low-yielding RIDF bonds (at 3.54% of assets in FY22 vs 4.75% in FY21).

Liability Franchise

- Bank's consistency and quality of granular liability growth is visible. The average CASA balance to average deposits ratio has improved to 43%.
- The improving liability franchise has resulted in cost of deposits declining by 25 bps YoY.
- Bank has opened 2.4 mn liability relationships, up 30% YoY, taking the total accounts opened in FY22 to new highs of 8.6 mn, up 29% YOY.
- Bank added the highest number of salary accounts in FY22, which is 1.5 mn new accounts

Credit Cards

- Bank's direct exposure to Russia and Ukraine is negligible. Bank has exposure to an Indian Oil refinery rated AA minus externally where sanctioned Russian entity owns 49% stake, the exposure is largely non-funded nature.
- Bank issued its highest ever quarterly new credit cards of 1.1 Mn in Q4FY22, which led to total ~2.7 Mn cards in FY22.
- Bank crossed a significant milestone of 2 Mn Flipkart Axis Bank Credit Cards in force.
- Bank has entered into a strategic partnership with Airtel to offer credit cards & various digital financial offerings to Airtel's 340 Mn customers. There are more partnerships in the pipeline.

Enhancing Digital Capabilities

- Bank's IT team strength has grown by 75% over the last 24 months with focus on modern engineering skills. Overall, its tech spend has gone up by over 2x in the last 2 years
- Bank has built Data stack 3.0. which is a cloud based, real time, flexible architecture covering structured and unstructured data.
- Digital Merchant cash advance, a new product which was launched in Q3 this year targeted at small merchants has witnessed 12x QoQ growth in terms of volumes.
- On UPI, Bank's market share stood at 15% and managed over 25 Mn transactions daily with amongst the lowest rate of technical declines for remitter transactions. Bank has ~ 5.6 mn non-Axis Bank customers using its Axis mobile and Axis Pay apps.

Other highlights

- Disbursements to unsecured products continued to grow with personal loans disbursements growing 23% YOY and 24% QOQ
- Retail disbursements for Q4FY22 were the highest ever for any quarter, growing 21% YoY.
- On the wealth management side, Bank saw the highest ever gross mutual fund sales for over Rs 212 Bn and alternate investments of over Rs 23 Bn in FY22
- Bank also gained a significant incremental market share of 31% in 11MFY22 on merchant acquiring business.
- Axis is the second-largest merchant-acquiring bank in the country with an installed capacity of 9.52 lakh terminals.

Quarterly Financials

P&L (Rs Bn)	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	YoY	QoQ
Interest Earned	154.9	160.0	163.4	172.6	177.8	14.7%	3.0%
Interest Expended	79.4	82.4	84.4	86.1	89.6	12.8%	4.0%
NII	75.5	77.6	79.0	86.5	88.2	16.7%	1.9%
Other Income	35.4	33.6	38.0	38.4	42.2	19.3%	10.0%
Net Income	111.0	111.2	117.0	124.9	130.4	17.5%	4.4%
Opex	53.6	49.3	57.7	63.3	65.8	22.7%	3.9%
PPOP	57.4	61.9	59.3	61.6	64.7	12.7%	4.9%
Provisions	21.7	33.0	17.4	13.3	9.9	-54.4%	-26.0%
PBT	35.7	28.8	41.9	48.3	54.8	53%	14%
Tax	8.9	7.2	10.6	12.1	13.6	52%	12%
PAT	26.8	21.6	31.3	36.1	41.2	53.8%	13.9%
Balance Sheet (Rs Bn)							
Networth	1016	1039	1072	1109	1152	13.4%	3.9%
Deposits	6980	7139	7363	7717	8217	17.7%	6.5%
Borrowings	1429	1509	1587	1789	1851	29.6%	3.5%
Other Liabilities	443	434	486	516	531	19.9%	2.9%
Total Liabilities	9868	10120	10507	11131	11752	19.1%	5.6%
Cash & Bank	617	730	970	1020	1110	79.8%	8.8%
Investments	2261	2399	2498	2664	2756	21.9%	3.4%
Advances	6144	6149	6217	6649	7077	15.2%	6.4%
Other Assets	845	843	822	797	809	-4.3%	1.5%
Total Assets	9868	10120	10507	11131	11752	19.1%	5.6%
Ratios (%)							
GNPA	3.70	3.85	3.53	3.17	2.82	-88 bps	-35 bps
NNPA	1.05	1.20	1.08	0.91	0.73	-32 bps	-18 bps
PCR	72.4	69.8	70.2	72.0	74.7	237 bps	269 bps
CASA	45.5	43.1	44.5	44.7	45.0	-53 bps	31 bps
Cost /Income	48.3	44.4	49.3	50.7	50.4	213 bps	-26 bps

Source: Company, D&B Research

Financials

Profit & Loss Account				
Rs in Bn	FY21	FY22	FY23e	FY24e
Interest Earned	633	674	859	1015
Interest expended	341	342	469	550
NII	292	331	390	465
Other Income	123	152	180	212
Net Income	415	484	570	677
Operating Exp	184	236	270	307
PPOP	231	247	300	370
Provisions	143	74	79	98
PBT	88	174	221	273
Tax	22	44	56	69
PAT	66	130	165	204

Balance Sheet				
Rs in Bn	FY21	FY22	FY23e	FY24e
CAPITAL & LIABILITIES				
Capital	6.1	6.1	6.1	6.1
Reserves & Surplus	1010	1146	1303	1496
Deposits	6980	8217	9493	11020
Borrowings	1429	1851	1611	1756
Other Liabilities	443	531	542	561
TOTAL	9868	11752	12954	14839
ASSETS				
Cash & Balances	617	1110	919	929
Investments	2261	2756	3093	3483
Advances	6144	7077	8263	9716
Fixed Assets	42	46	52	59
Other Assets	803	763	627	652
TOTAL	9868	11752	12954	14839

Ratios (%)	FY21	FY22	FY23e	FY24e
Growth				
NII	16.0	13.3	17.7	19.3
PPOP	-1.3	7.0	21.1	23.6
Net profit	305	97.7	26.9	23.3
Deposits	9.0	17.7	15.5	16.1
Advances	7.5	15.2	16.8	17.6
Returns				
ROA	0.7	1.2	1.3	1.5
ROE	7.1	12.0	13.4	14.5
Efficiency				
C/I Ratio	44.3	48.8	47.4	45.3
CASA	45.5	45.0	45.7	46.2

Ratios (%)	FY21	FY22	FY23e	FY24e
Per Share				
BV (Rs)	332	375	426	489
ABV (Rs)	309	357	408	467
EPS (Rs)	22	42	54	66
Valuation				
P/BV (x)	2.4	2.1	1.8	1.6
P/ABV (x)	2.5	2.2	1.9	1.7
P/EPS (x)	36	18	14	12
Asset quality				
GNPA	3.6	2.8	2.1	1.9
NNPA	1.1	0.7	0.6	0.6
PCR	72	76	72	67

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